

Northgate Talent Partners LLC

www.northgatetalent.com

March 15, 2023

David McGee
General Manager
Hicks-Castillo

Dear Mr. McGee:

Thank you for the two afternoons last month, and for letting us look at your pay history before we quoted on the work. What you want is not a search, and I would have said so if it were. You want to know whether what you pay your senior people can be defended against the market you actually hire from, and what it would take to move it where the answer is no. We would like to do that for you. This letter sets down the work, what it costs, and the terms the two of us are agreeing to.

What You Have Asked Us To Do

We will benchmark the compensation of an agreed schedule of senior positions at Hicks-Castillo against a comparison group of companies that we build with you and that you approve. For each position we will report base salary, annual incentive, any long-term or ownership element, and the total, and we will say where the position sits against the group and what it would cost to move it. The schedule of positions is settled in the first working session, and everything after that is measured against it.

Two limits belong at the front of the letter. We are benchmarking positions and not people, so nothing we produce will assess an individual or recommend what any named employee should be paid. And we will not name anybody, on your side or on anyone else's, in any document that comes out of this engagement. The market talks to us because we have never crossed that line.

The Comparison Group

The comparison group decides the answer, so we build it before we buy any data and you approve it in writing. We will propose it on three tests:

- 1. Scale. Companies in a revenue and headcount band around your own, because the same title carries a different job at a different size.

- 2. Competition for people. The sectors you lose people to and recruit from, which in our experience are not the same as the sectors you compete with for customers.
- 3. Ownership. Privately held businesses, because a listed company pays for the same position in a different currency, and comparing across that line will flatter or punish you for reasons that have nothing to do with how you pay.

Once you have approved the group it is fixed. If collection shows us that a company on it has to come off, we will tell you why and ask you before we take it off.

Where the Numbers Come From

Three sources, in this order. We buy the published survey data that covers your sectors at your scale, and we map every position on your schedule to the survey job codes ourselves instead of taking the titles at face value. We add the compensation detail from the searches this firm has run at this level, used only in aggregate. Where a position is thin in both, we go and have conversations, and what we learn that way is reported as a range with its method shown.

Where a position has too few comparators to support a reliable read, the report will say so and set out what we would need to close it. We will not put a quartile on data that cannot carry one.

Who Will Do the Work

Sandra Fuentes, our Principal, leads the engagement and is the person to call. She runs the sessions with you and she writes the findings. David Weiss, Research Associate, does the collection, the crosswalk to the survey codes, and the analysis, and he will be in the working sessions to answer for the numbers. I am accountable for anything that leaves this firm under our name, and I read the report before you do. If at any point in the eight months you want a different conversation from the one you are having, ring me.

Our Fee, and When We Start

Our fee for the work described above is \$75,000, fixed. It is not an hourly rate, and it does not move with the number of positions we end up comparing or the number of conversations the thin ones require. We invoice it in three parts: one third on commencement, one third at the interim review, one third on delivery and presentation of the final report. Each invoice is payable within thirty days.

Out-of-pocket expenses are billed at cost and itemized on the invoice, and they are limited to travel to your sites and the purchase of survey data. We will not commit to any single expense above a level you set us without asking you first.

Work begins March 25, 2023, on the assumption that a signed copy of this letter is back with us by then, and the first session goes on settling the schedule of positions.

Term and Termination

The engagement runs from that date until we have delivered and presented the final report, which on this scope is about eight months. Either of us may end it on thirty days' written notice. If you end it early, you pay for the work completed to that point, calculated as the proportion of the fixed fee that the completed stages represent, and we hand over everything we have produced. If we end it early, we return any part of the fee invoiced for work not done.

Confidentiality

What you give us stays inside the engagement team, and it is returned or destroyed at your instruction when the work is finished. We will not name you as a client of the firm, in a proposal or anywhere else, without your written permission. The obligation runs the other way as well: the purchased survey data is licensed to us and cannot be passed on, and the aggregated detail from our own files is given to you in confidence and stays inside your company.

Limitation of Liability

Our liability under this agreement is limited to the fee you have paid under it, and neither of us is liable to the other for indirect or consequential loss. What we are giving you is our reading of a market at a point in time, drawn from the best sources open to us. It is not a certification, and the decisions you take on pay remain yours.

Governing Law

This agreement is governed by the law of the state in which our office is established, and any dispute arising under it belongs in that state's courts. If a provision of it is found unenforceable, the remainder of the letter stands.

Two copies are enclosed. If this matches what we discussed, please sign both and return one to me. If any line of it reads differently from what you understood, ring me and we will settle the wording before either of us signs. The next step is already in our diary: Sandra Fuentes will call your office this week to fix the half day we need with you to close the schedule of positions.

Kelly Chavez

Managing Director

Date: March 15, 2023

David Mcgee

General Manager, Hicks-Castillo

Date: March 15, 2023